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THE BT INTERVIEW |

have sound fiscal policies. The Budget gave ₹1 lakh crore additional tax relief to the middle class to boost consumption, savings and investments. Things are in place. Capital formation, both on the government side as well as on the private sector side, is on the upswing. There are several policy decisions such as PLI that have brought several industries to India. Despite economic uncertainties due to geo-fragmentation, tariff barriers and trade issues, India has the biggest potential as a large economy. Fundamentally, the markets will have to track that performance.

Q: What are the risks that any investor, large or small, should factor in today?

A: There is normal market risk and then there is heightened risk on account of geopolitical and geo-economic reasons. Post Covid, a lot of realignment started taking place in terms of geoeconomic fragmentation because supply chains did not work. Then came the Ukraine and Middle East crises. Everyone wants to reshore the supply chains and work out things in his own way. New uncertainties are arising from the

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“It cannot be that only the very large and organised players make money and retail investors lose money”

US administration’s stance on tariffs. These things keep coming. We are not really in a benign global environment. There will certainly be problems in global growth and trade, but people are also trying to mitigate the problems. For example, India is trying to work out a bilateral trade agreement with the US and free trade agreements with many other countries. But those apart, there are other risks which come as a matter of fact in any investing.

Q: Sebi has been proactive in protecting retail investors. This seems to have led to a significant decline in trading volumes. How do you see this playing out? Is this something that you as the head of the institution are comfortable with?

A: You are referring to the derivatives market. I would like to give you a holistic picture because retail is very much there in the cash market in a big way. Look at the kind of retail protection that our system has provided.

Their money is protected. Sebi has ensured ease of entry and investing.

There is protection in terms of transactions. We have tied up with DigiLocker—the problem of unclaimed money will get addressed as nominees will get access to the DigiLocker. This kind of a system is not there anywhere in the world. Now, let us come to other areas. We have a system of corporate governance practices, disclosures, independent director regulations, investor education, investor grievances and a portal for redressal of grievances. There is a lot of protection, not to talk about other things such as related-party transactions. Sufficient measures have been taken for investor protection. On your question in relation to the derivatives market, a Sebi study revealed that nine out of 10 retail investors have lost money in the F&O market. Sometimes, in their exuberance, retail investors seem to think that they are very smart but lose money. And this has been proven. Therefore, we need a better nuanced thing on that.

Q: Is a clamp-down the answer? Is there a need for a more nuanced framework which allows people to take risk?

A: We need a nuanced framework. We need informed investors. We also need some systemic improvements of how you measure, for example, the volumes you mentioned. Notional interest is sometimes misleading. Comparing options and futures is like comparing apples and oranges. In case of options, it is the premiums which are more important. For example, on the expiry day, you have hordes of people. Just three or four minutes before the expiry, if people are crowding, it can lead to market instability. It cannot be a one-way street. It cannot be that only the very large and organised players make money and retailers (investors) lose money.

Q: Is there more work that needs to be done on corporate disclosures?

A: From the investor’s point of view, there is a big need for corporate disclosures. But at the same time, we have to strike a balance. There was an issue of what is materiality. Sebi provided clarity as to what is the material information that needs to be disclosed and when. There will be greater certainty after that clarity. Corporates also need more clarity as sometimes they are also under doubt. But there are malpractices, blatantly false disclosures being made, though our surveillance system is throwing those out. We will not hesitate in acting against such disclosures. **BT**

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